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Derive

Onchain options investment thesis

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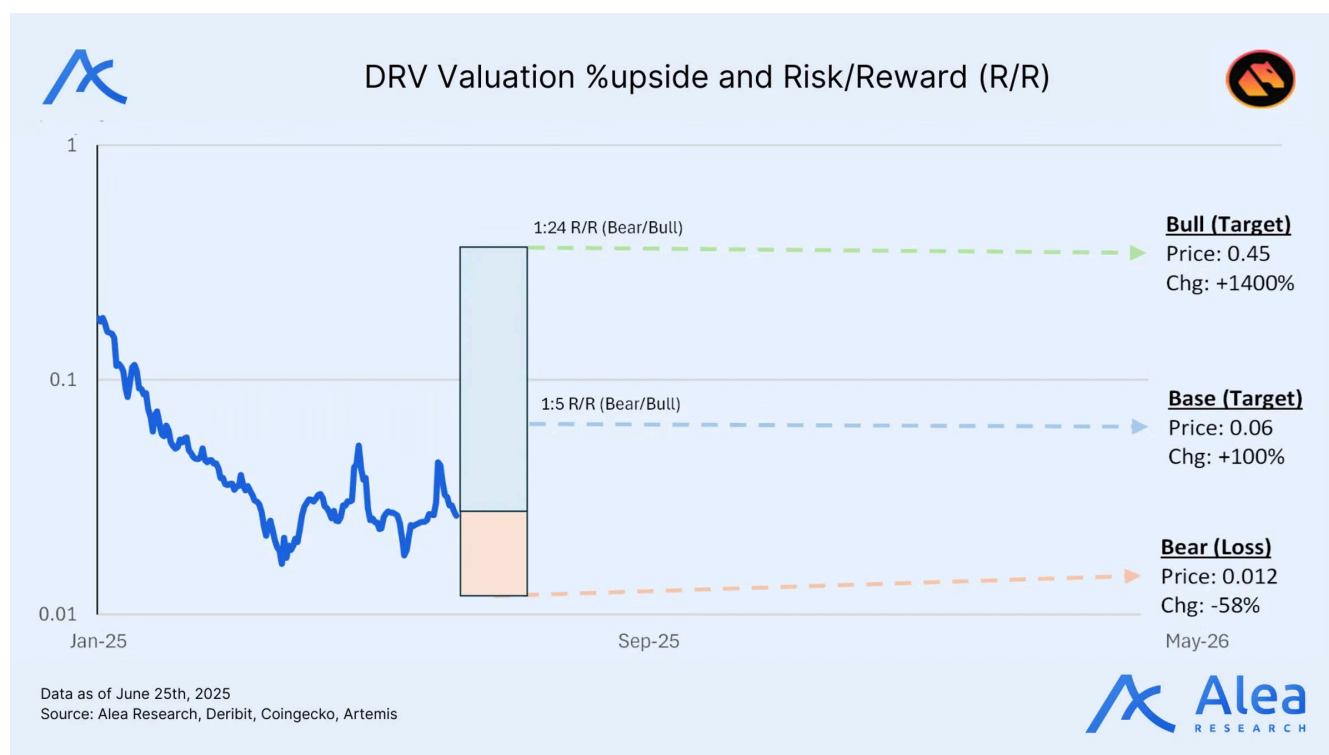
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Perpetuals may dominate crypto volumes, yet global options turnover is at record highs and inevitably seeks the same KYC-free, self-custodial rails that Hyperliquid proved workable: CEX-grade UX, instant onramps, and tokenomics that let holders monetize protocol flow. Even if only a modest slice of that demand moves onchain, the addressable market is already structurally meaningful.

Derive is the market leader, commands the majority of that nascent flow onchain, and trades at < \$30m FDV. For perspective, Coinbase just bought Deribit for \$2.9b, with \$700m (that's 20× DRV's valuation) in cash alone. Should "the Hyperliquid of options" be valued even at \$300m fully-diluted, the reflexive chase for exposure begins. This bet seeks venture-style returns for backing a thesis that simply expects an alternative to CEXs for options and structured products to exist onchain.

The thesis hinges on Derive's execution edge: a team with a background in equities options and market making, shipping in crypto since 2021, evolving from AMM roots as a dApp on L2s into the most recent Derive Pro. Beyond options, portfolio-margin, perps, structured-yield vaults and basis trades, every product strategy pipes fees into the same buyback loop, currently set to 25% of total fees.

Even if adoption is slow, liquidity begets liquidity and a head-start to compound those tailwinds matters; if even a fraction of Deribit's \$30b open interest migrates post-acquisition, DRV's current price looks absurd. Risks—complex products, sticky CEX liquidity, last month's failed \$27m SNX bid—are real, but catalysts line up over the next 6-18 months, skewing pay-off sharply toward the upside.



Source: Alea Research – DRV Valuation %upside and Risk/Reward (R/R)

Key Takeaways

Market-leader yet micro-cap: Derive already settles the bulk of onchain options volume, is the most liquid options orderbook onchain, and continues to deepen liquidity with structured product vaults; yet the potential of this vertically integrated stack is not being priced in.

Deep perceived discount: DRV trades at < \$30m FDV, a 100× markdown to Coinbase's \$2.9b Deribit buy-out.

Fee leverage: At only \$3m in annualized fees, a 20x P/F (FDV) multiple still prices in 100% upside; scaling fees to \$23m drives a 10x+ returns bull print (with embedded valuation assumptions).

Institutional-grade infra + CEX-Grade UX: OP Stack rollup, millisecond offchain matching, portfolio margin, multi-collateral, and > 10 active market makers to deliver on par with Deribit.

Execution edge: Seasoned team with a solid track record of execution, now offering not only options but also perps and vaults that broaden the addressable market, deepen liquidity, and funnel additional fees into the same DRV buyback loop.

Deliberate value accrual: 25% of protocol fees are hard-wired to DRV buybacks; emissions will be halved in July 2025, 6-months post-TGE.

Base-case doubles the expected valuation: +100% to \$0.06 assuming ~1% share of Deribit's 2025 options flow (\$1.2 T) and a conservative 20× P/F (FDV) multiple.

Reflexive price action hinges on adoption: liquidity → volume → fees → buybacks → higher staking ratio → tighter float; the compounding loop is already measurable and predictable.

Beware value traps: P/F (FDV) more than doubled from February (12x) to June (27x) as revenue fell faster than price and buyback amounts aren't enough to offset inflation yet.

Other risk signals: Fees, liquidity and token trading volume all broke prior lows in May-Jun and there are no signs of stabilization yet.

Monitor risk guardrails: Watch exchange volume, TVL in vaults, governance, buyback amounts, and treasury runway to avoid a negative reflexive loop.

Founder's Edge

Derive began life as Lyra, which was spun out of Synthetix in 2021. It was co-founded by Nick Forster, a former Susquehanna equity-options trader; Michael Spain, a former engineer at Synthetix and co-founder of Lightbit; and Jake Fitzgerald, who leads product and previously worked at Airtree Ventures and Meta.

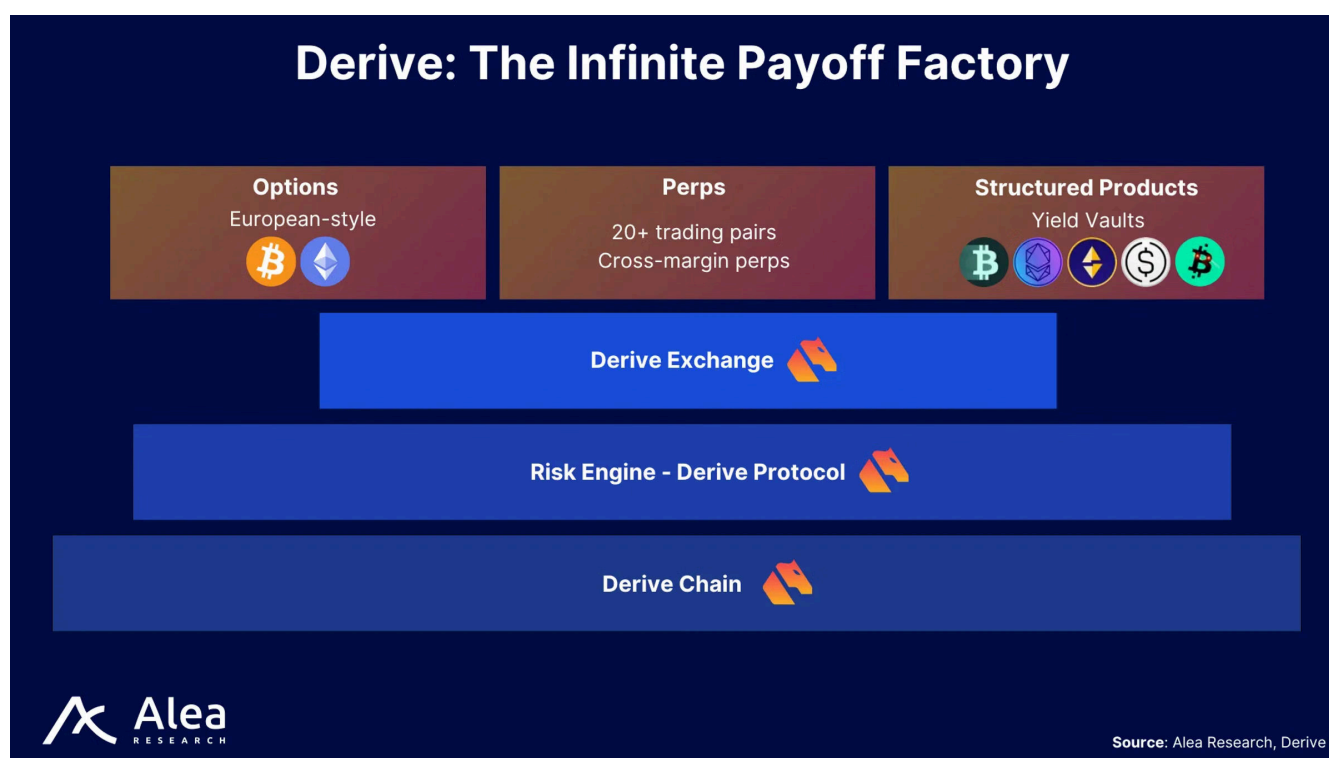
A \$3.3m seed (August 2021, at \$50m valuation) led by Framework and ParaFi was followed by a \$3m strategic round (November 2022) headlined by GSR, bringing total historical funding to ~\$6.8m with backing from angel investors and founders of blue-chip protocols such as Synthetix's Kain, AAVE's Stani, EtherFi's Mike, or Ethena's Guy among others.

Recognizing the limits of Lyra's AMM deployed on Ethereum L2s, the team re-architected in 2023-2024: built Derive chain as an OP Stack rollup, migrated LYRA 1:1 with DRV, and ventured into building a decentralized derivatives powerhouse that goes beyond options trading while still aiming to become the market leader in that sector.

Surviving market drawdowns since 2021 and most recently a public \$27m Synthetix take-over saga hardened the culture around independence and pragmatic execution while also reminding about the importance of teams making deliberate choices for token value accrual. The result is a team that has already pivoted once, delivered on every roadmap milestone since day one, and now enters the “hyperliquid of options” race fully battle-tested.

Infinite Payoffs Derivatives Stack

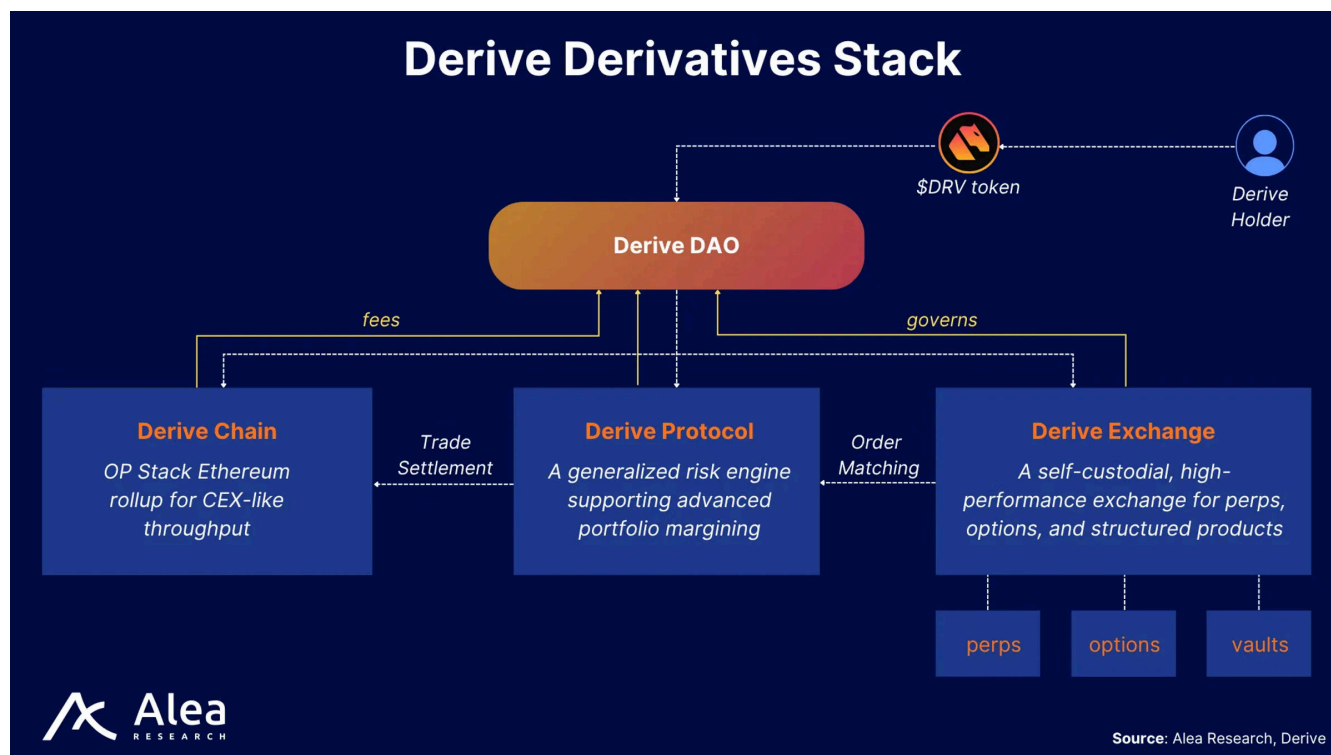
Becoming the market leader in the onchain options space not only requires CEX-grade like UX and capital efficiency at the orderbook level, but also innovating with structured products that increase depth and expand the addressable market. Derive's ambition is to become the programmable derivatives layer that lets anyone mint, trade, and settle any payoff. By exposing perps, options, and yield vaults as interoperable building blocks under one cross-margin engine, it becomes trivial to compose new tradeable instruments without rebuilding pricing, matching, or collateral plumbing.



Source: Alea Research Derive – The Infinite Payoff Factory

Derive runs on the Derive Chain, an OP Stack rollup purpose-built for derivatives. An offchain matching engine processes orders in milliseconds while final settlement, collateral, and risk live onchain, allowing for self-custody without sacrificing speed. This is an architecture that has already been validated by appchains like dYdX and vertically integrated stacks like Hyperliquid. Derive complements its offerings with a unified cross-margin system that prices positions across instruments—spot, perps, options—cutting capital

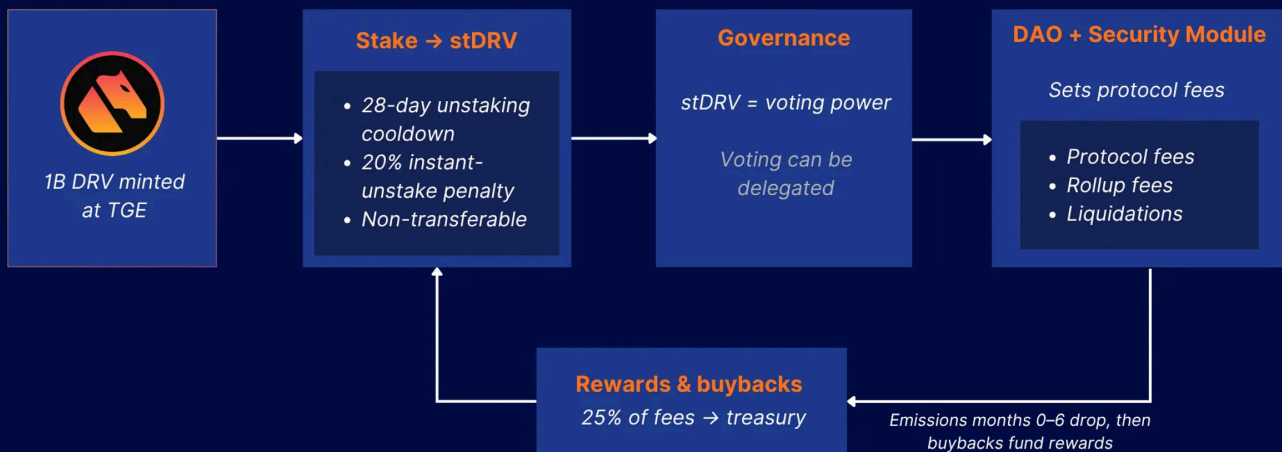
requirements versus isolated-margin venues and offering a seamless onramp for professional market makers. It features an embedded lending market for borrowing USDC as well as the ability to collateralize positions with assets like BTC (WBTC, cbBTC, LBTC, solvBTC, solvBTCBBN), ETH (also wstETH, weETH), or yield-bearing stablecoins such as sDAI and sUSDe in addition to the main quote asset—USDC—and USDT.



Source: Alea Research – Derive Derivatives Stack

The vision is a full-stack product funnel that is strategically engineered for market capture. This liquidity advantage is achieved by integrating spot, perps, and European options in a single venue whose value proposition is further amplified by a suite of structured products ranging from covered-call vaults to bespoke basis trades. By providing these turnkey primitives on the same layer, Derive aggregates liquidity and compounds fee streams under a single interconnected exchange. Vault strategists and traders can effortlessly tap into this liquidity and start offering custom payoffs without rebuilding the foundational infrastructure. Every new product and strategy offered on top further reinforces the market dominance fueled by deeper liquidity, similar to Hyperliquid's HLP but with additional diversity benefits. All of this underpins Derive's moat with increasing volumes and deeper markets that solidify its role as the indispensable nexus for sophisticated onchain volatility exposure. Today, this feedback loop ends with 25% of protocol fees allocated to DRV buybacks, directly increasing token demand as volumes scale.

Derive Token Economics



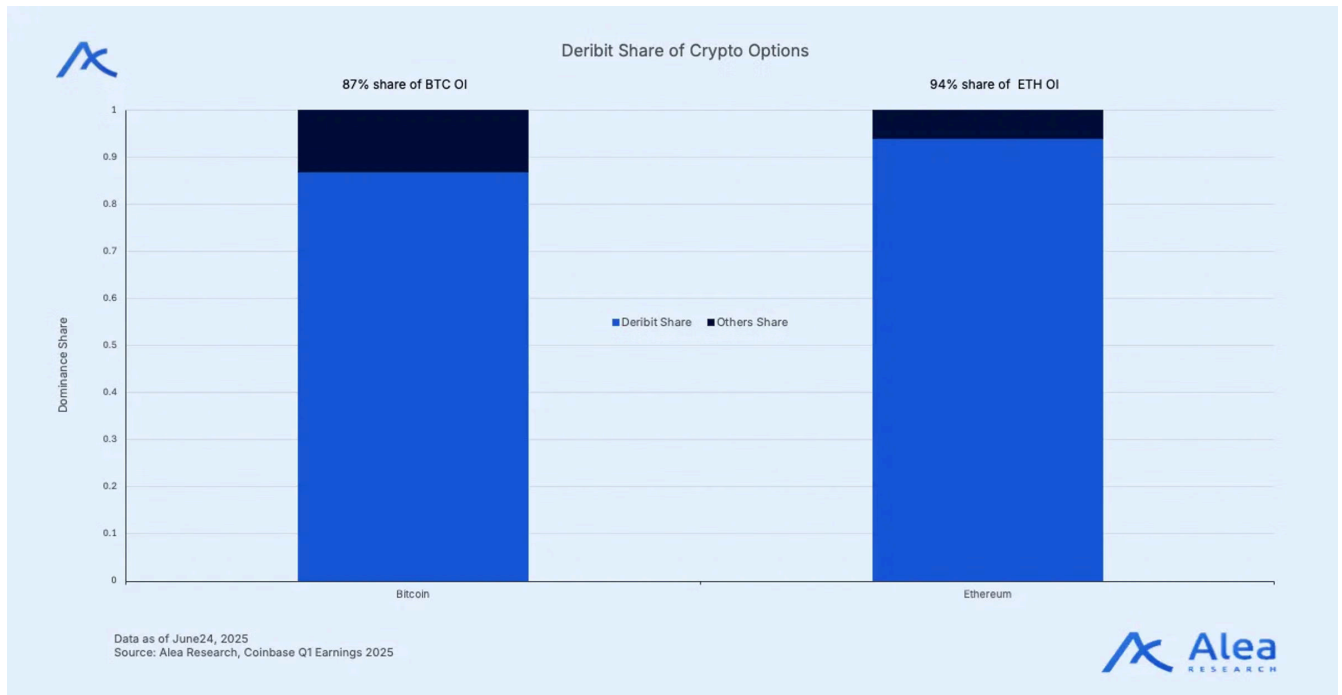
Source: Alea Research, Derive

Source: Alea Research – Derive Token Economics

DRV is engineered for value capture: more volume → more fees → mandated buybacks → higher staking APR → deeper staked supply → tighter governance + lower float. Combined with a CEX-competitive stack and growing TAM, the token's design directly channels operational success into price appreciation. This coincides with decreasing emissions after the 6-month bootstrap window that started in January 2025.

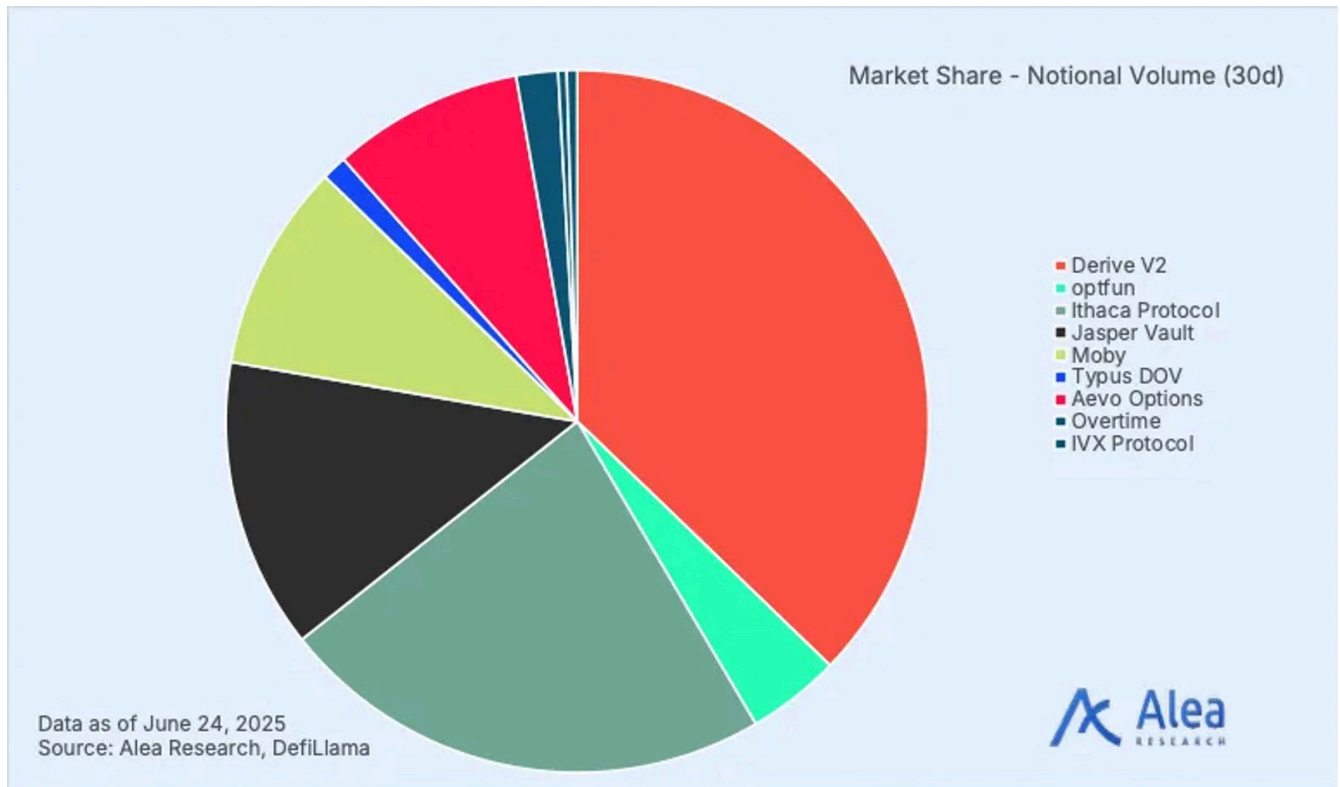
Onchain Options Battlefield

Because of their simplicity (only one contract per asset and no expiries), perps have become the most dominant retail-friendly speculative tool for crypto derivatives trading. Options, though ubiquitous in TradFi, have historically suffered from UX and liquidity constraints onchain. That bottleneck explains Deribit's market dominance, now being folded inside the Coinbase empire.



Source: Alea Research, Coinbase Q1 Earnings 2025 – Deribit Dominance of BTC & ETH Options Markets

Our stance is that Derive is positioned to become the onchain analogue of Deribit. The sector itself is a blank canvas and most DeFi option venues today barely register substantial volume. Nonetheless, our view is that a protocol that nails CEX UX + deep liquidity + self-custody has a credible shot at capturing a network-effect monopoly. DRV is our bet on that winner, with conviction levels rising as emissions decrease while buyback amounts start climbing. The catalyst stack could also be boosted with additional CEX listings that improve liquidity for the token. Furthermore, Coinbase's deal for Deribit illustrates how scarce high-quality option venues are. Similarly, top-tier exchanges have an incentive to list the market leader in the options market as the sector transitions from niche to core derivatives infrastructure.



Source: Alea Research, DefiLlama – Market Share of Options Protocol by Notional Volume

Even though DRV's demand is dependent on the platform's volume, one might still argue that its role as a proxy for sector exposure would still justify a higher valuation. Deribit's volumes continue to rise year after year, and Hyperliquid has already proven what the migration path to an onchain player looks like. With purpose-built chains and offchain matching and risk engines, performance is no longer a bottleneck. Meanwhile, Derive might have hit a sweet spot where it had enough ammo to issue incentives for liquidity bootstrapping while still having a sufficiently large float that removes fears of sell pressure from unlock concerns.

Options are following the same path as perps, consolidating liquidity depth first, and onboarding sticky volume right after while locking in network effects with token buybacks. For that reason, we view DRV as the asymmetric bet to capture the inevitable catch-up of options to the perps DEX growth curve. Synthetix's failed buy-out attempt at \$27m might as well set an implicit valuation floor.

Unfair Advantages & Defensive Walls

There's a significant, almost inevitable, opportunity for a single market leader to emerge in the onchain options space, and the key question is who will seize it, not if it will happen. This sector presents an undeniable void, and winning the race hinges on who can serve CEX-grade UX and institutional-grade infrastructure with deep liquidity without surrendering self-custody.

Our take is that Derive is not only the current leader, but also the player with the highest chances of keeping the lead. In barely 18 months the team re-engineered Lyra—an AMM-based options protocol on L2s—into a CLOB powered by an OP Stack rollup and risk engine that would power not only European Options but also perps and other derivative instruments while most competitors still lag behind in terms of execution. Getting the first-mover advantage may prove to be critical on the quest to market dominance, but that's also

testament to the team's competitive advantage. Led by Nick Forster, the founding team has a solid track record working in crypto while also drawing from unparalleled lessons learned at trading firms like Susquehanna (SIG) as well as meaningful connections with market makers and trading desks.

Execution velocity is already compounding into market dominance as liquidity increases on the exchange. More than 10 market makers already provide quotes to the orderbook, finally unlocking the tight spreads that signal that a credible competitive alternative to Deribit is at stake. Derive's product diversity and capital efficiency further widens the gap, already offering portfolio-margin and other features available in Derive Pro that set it apart from a UX standpoint. Liquidity depth is self-reinforcing, capital-efficiency gives a structural edge, and value accrual flows finish the loop.

There are no incumbents, and the technical barrier to entry is high, more so if you consider how hard and time-consuming it can be to get the liquidity flywheel spinning after onboarding the initial market makers. Derive has already gone through that bootstrap window, and incentives will be decreased moving forward, funneling growth into token buybacks instead. Binding product execution, liquidity depth, capital efficiency, and buyback-funded token demand, the strategic game board has been already laid out: Liquidity → Volume → Fees → Buybacks → Higher stDRV APR → Higher staking ratio → Lower float. Tailwinds ahead include stickier flow and the onboarding of more sophisticated actors and market makers to the exchange. Together with more instruments and yield vault deployments, this increase in revenue sources should materialize in greater buyback power and token demand. With the core bottlenecks of onchain options—liquidity, UX, collateral—already neutralized, the only remaining obstacle is continued execution, and that's a discipline this team has repeatedly proven.

Investment Thesis

Even if crypto is dominated by perps, global options activity has never been higher. Traders will keep hedging and speculating, and Hyperliquid already proved the playbook to bring a portion of that massive volume onchain: build CEX-grade UX, onramp traders with no KYC, and ensure that tokenholders capture upside from protocol adoption. Onchain options are expected to be a smaller market than perps, yet even a modest share moving onchain creates a structurally important opportunity.

Derive (DRV) is by a far shot the current market leader, and trades at less than \$30m fully-diluted. Meanwhile, Coinbase just acquired Deribit at a \$2.9b valuation, consisting of \$700m in cash (more than 20x DRV's FDV) and 11m shares of Coinbase Class A common stock. If "the Hyperliquid of options" commanded only 10x that (~ \$300m)—hardly punchy in today's venture comps—FOMO could easily start kicking in. This asymmetry presents a potential outcome to get paid venture returns for a thesis that only states that an alternative to CEXs for options and structured products should exist onchain.

Structured Products Kick-Start Liquidity

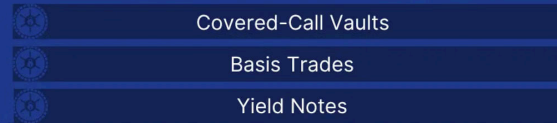
Deep liquidity kicks off the volume-flywheel that funds DRV buybacks

The Cold-Start Problem



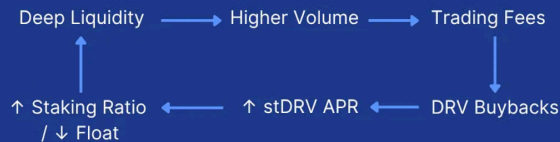
Traders won't come without liquidity; liquidity providers won't come without traders.

Structured Products as the Igniter



Instant Depth (Vaults pre-seed orderbooks with two-sided flow)

Flywheel Flow



Execution feeds token value.

Outcomes

Tighter spreads make it more attractive for traders

Lower circulating supply and more buybacks

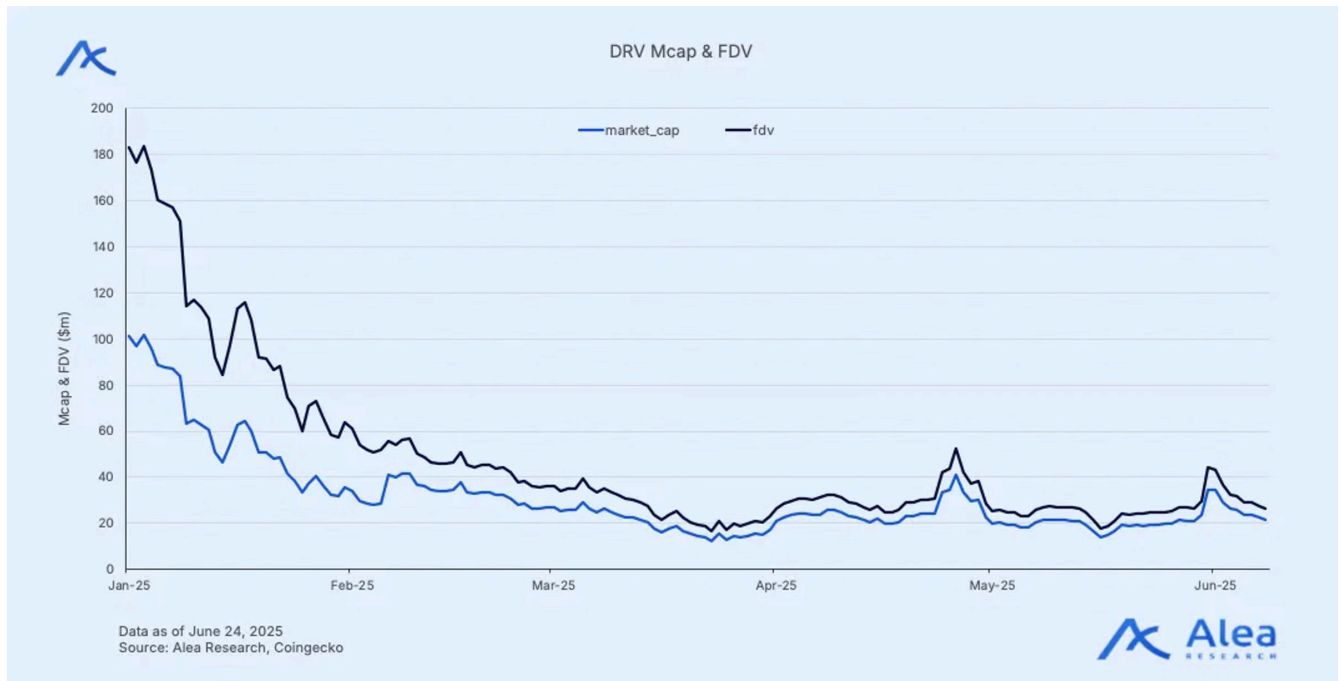


Source: Alea Research, Derive

Source: Alea Research, Derive – Derive's Liquidity Flywheel

Derive is already the fastest horse, and the founding team has not only cut their teeth in TradFi equity options but also has relentlessly pursued the challenge of making decentralized options a reality since 2021. What started as an AMM on Ethereum L2s has now become a powerhouse for derivatives. The most recent rollout of Derive Pro is testament to the team's technical edge building a CEX-grade UX for not only options but also perps, structured-yield-vaults, and other strategic funnels that add optionality to our thesis. That pipeline adds further upside, as every new product—structure notes, basis trades, covered-call vaults—funnels fees into the same buyback loop.

In a power-law market, liquidity begets liquidity, and our bet is that Derive's head-start and composable stack make it the obvious front-runner. Even a sliver of the \$30b open interest sitting on Deribit migrates onchain after the Coinbase take-over, DRV's current valuation will look absurdly low.



Source: Alea Research, Coingecko – DRV Mcap & FDV over time

There are, of course, paths to failure. Options remain complex for retail, liquidity can prove sticky to CEXs, and just last month a proposed \$27m token-swap take-over by Synthetix (SIP-415) collapsed after community push-back. A proposal to increase the revenue allocation for buybacks from 25% to 80% also failed recently due to sustainability and runway concerns. Yet with clear catalysts ahead for increased adoption in options and structured products onchain, we judge a 3-to-12-month window in which upside materially outweighs downside.

DRV Value Lens

Applying peer-group multiples is fraught when comparables earn no revenue, so we anchor on sales. At the current 27x P/F (FDV) multiple, DRV is optically expensive, yet that figure still rests on sub-scale volumes. If Derive captures merely a single digit % of Deribit's open interest, the fee run-rate would easily rise and compress the multiple.

Our valuation anchors a conservative 20x P/F (FDV) multiple and triangulates volume scenarios with a sensitivity matrix that crosses Deribit's annualized notional (\$500b – \$2.5t) with Derive market-share (0.3% – 15%). On the right, the companion table flexes the valuation multiple (8x – 70x) against three discrete fee run-rates (\$0.6m, \$3m, \$23m).



DRV Valuation %upside Sensitivity Tables

		Deribit Annual Volume x Derive Volume as a % of Deribit's Volume at 20x FDV/Fees							Fees x FDV/Fees				
		Deribit Annual Volume (\$b)							Fees (\$m)				
		500	800	900	1200	1500	2000	2500	3	23	0.6		
Derive Volume as a % of Deribit	0.3%	-58%	-33%	-25%	0%	25%	67%	108%	FDV/Fees	8	-20%	500%	-83%
	1%	-17%	33%	50%	100%	150%	233%	317%		10	0%	650%	-79%
	3%	400%	700%	800%	1100%	1400%	1900%	2400%		15	50%	1025%	-69%
	5%	733%	1233%	1400%	1900%	2400%	3233%	4067%		20	100%	1400%	-58%
	7%	1067%	1767%	2000%	2700%	3400%	4567%	5733%		25	150%	1775%	-48%
	9%	1400%	2300%	2600%	3500%	4400%	5900%	7400%		30	200%	2150%	-38%
	13%	1983%	3233%	3650%	4900%	6150%	8233%	10317%		45	350%	3275%	-6%
	15%	2400%	3900%	4400%	5900%	7400%	9900%	12400%		70	600%	5150%	46%

Notes: Highlighted cells correspond to the estimates in their respective scenarios (Base Bull Bear)
Data as of June 25th, 2025
Source: Alea Research, Deribit, Coingecko, Artemis

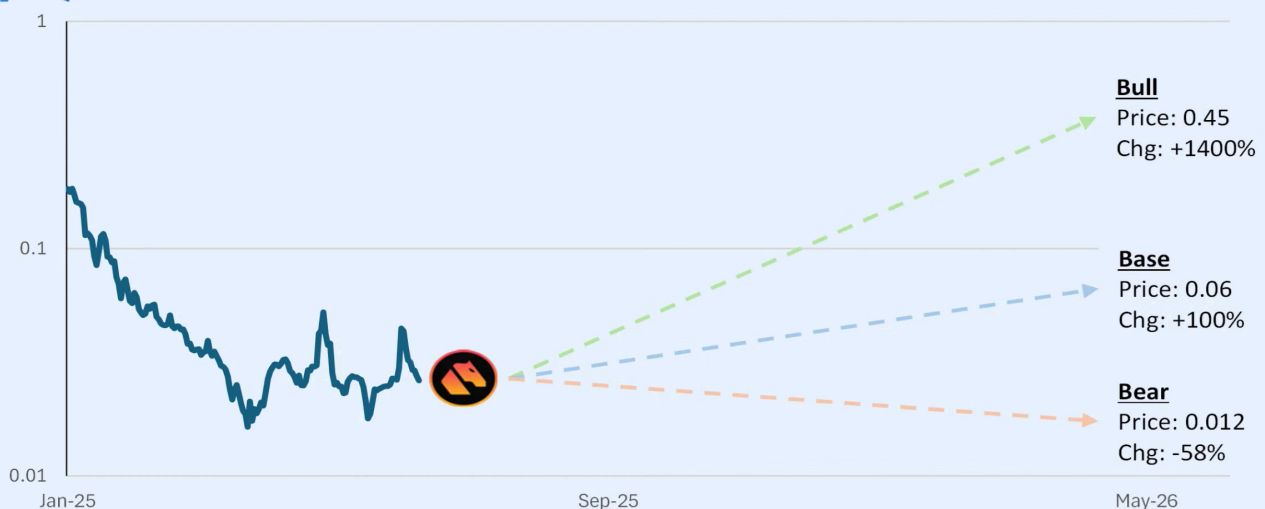


Source: Alea Research, Deribit, Coingecko, Artemis – DRV Valuation % Upside Sensitivity Tables

Using Deribit as the proxy for TAM, every incremental % share of the market leader's flow adds up volume that lifts Derive's annualized fees with a portion of that—currently set to 25%—allocated to buybacks. The upside is asymmetric as the bull case requires neither heroic volumes nor heroic multiples.



DRV Valuation %upside



Data as of June 24th, 2025
Source: Alea Research, Deribit, Artemis



Source: Alea Research, Deribit, Artemis – DRV Valuation % Upside Projections

Failure Modes & Invalidation Paths

Every position is a wager on an uncertain future, and DRV is no exception, even if some relief can be found in one's conviction that a growing share of options volume will be traded onchain. The versatility that comes with offering structured products is another reason to stay bullish on a vertically integrated platform like Derive. However, there is a spectrum of failure modes that still weight heavily on the decision-making process and that could overturn our thesis.



Source: Alea Research, DeFiLlama – DRV P/F (FDV) Over Time

The main risk stems from adoption being tightly coupled to Derive’s business model. Our core bet is that onchain options volumes will escape today’s “rounding-error” status, but if liquidity and open interest remain stuck in the low-single-digit-millions per day over the next 2-3 months, it would signal that product-market-fit has not arrived. A flat wallet-count or a failure to onboard partner protocols or integrators for vaults to route flow to Derive would similarly invalidate growth assumptions. Those are scenarios that paint an ugly picture where DRV reverts to a “ghost” token with no fee support, and we could expect many allocators unwinding their exposure.

Timing and correlation to the overall market play an important role as well. A prolonged low-volatility market in majors could mean lower volumes decrease fee income and make buybacks irrelevant. As these periods extend in duration, runway concerns ramp up and this is not a trade where reverting or hedging is easy due to the suboptimal liquidity onchain. In a stress even the exit door could shrink fast.

While we don’t foresee any exploits or security incidents in the near future, it is pertinent to keep the topic of economic security and governance capture on the back of our minds. Synthetix already warned us that once your market cap gets cheap enough you become an acquisition target. Systemic shocks irrespective of Derive’s execution could dwarf the trade. These unknown-unknowns are partially mitigated by diversified portfolio construction and strict position sizing, but they remain outside the control of the team and falling prices could be devastating for the project. Lower DRV prices translate into a cheaper valuation that directly slashes the costs of bribery or governance capture.

Given the inability to hedge this position, it’s pertinent to define hard triggers and be disciplined with the max drawdown one is willing to take. For that, we want to track Derive’s exchange volume, TVL in vaults, and divergences between price action and the protocol’s fundamentals. Monitoring these leading indicators in real time ensures that conviction is earned and not presumed, allowing for capital to be redeployed swiftly when reality diverges from the base case.

Even a technically superior exchange can be kneecapped by a cash-crunch. Derive's treasury is still dominated by its native token and OP, with ~115k in majors and < 100k in stables. At the current FDV of \$27-30 m, any new equity/token sale would almost certainly price below the last implied round and below spot liquidity, inviting arbitrage and signalling weakness. Venture investors can already accumulate DRV on-screen without lock-ups; paying a premium for vesting and lockups only makes sense if Derive's roadmap or data moat is demonstrably widening. However, the product pivot, rebranding, and token migration bullet has already been bitten. With DRV issued only 6 months ago, failure to secure enough runway or capital could shake confidence when price slides lower.

The fixed 1 b supply cannot be expanded, but the Foundation still controls a large block of unlocked DRV earmarked for incentives. The key is to avoid a textbook negative reflexive loop: lower buybacks → weaker price → harder fund-raise → deeper cuts. Relevant indicators to keep an eye on as hard invalidations might as well include governance proposals to divert buyback funds or re-inflate emissions to cover OpEx, head count reductions, or take-over attempts that introduce uncertainty around the project's future.

Conclusion

Derive offers a rare “venture-style” upside in liquid markets: a proven product that already owns the majority of onchain options flow and yet trades at < \$30 m FDV, which is a 100× discount to the \$2.9 b Coinbase-Deribit deal that just validated this sector. If all goes right, the asymmetry is profound and we would be buying “quality misunderstood by the consensus”. In that scenario DRV represents a mispriced claim on the adoption of options onchain. This is further catalyzed by limited dilution, active buybacks, and growing volumes as liquidity deepens with more structured products rolled out.

The key to capitalize on this trade is to make this bet part of a diversified portfolio and cap the downside while monitoring price action and fundamentals divergences that may either strengthen the buy signal or trigger a hard stop loss. Assuming Synthetix's implicit \$27 m valuation take-over attempt as a credible floor, the risk-reward is skewed in favor of longs. With catalyst materializing and the narrative gaining mindshare, upside is expected to scale non-linearly and rather quickly. Still, execution risk remains and token demand is contingent on liquidity stickiness and trading volume.

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